

Article | 3 August 2026

FX

Washington joins the fight for the yen

US and Japanese authorities have confirmed that they have jointly intervened in FX markets to support the yen. Joint intervention is rare and points to new FX activism from the US Treasury. Yet a successful turn lower in USD/JPY will require softer US data, no Fed hikes and possibly some new initiatives from Japan to keep more money at home



The US dollar has weakened sharply against the Japanese yen after market intervention

Q: What's happened?

Reports over the weekend suggest US and Japanese authorities have jointly intervened to support the yen. This marks the first coordinated G7 FX intervention since March 2011 following Japan's earthquake and tsunami, and the first joint US-Japan yen-buying intervention since June 1998, when USD/JPY was approaching 150 during the Asian financial crisis.

Tokyo appears to have remained an aggressive seller of USD/JPY. Intervention on Thursday and Friday alone may have totalled close to \$80bn, exceeding the scale of operations seen in late April, and further intervention may have been conducted today. On the US side, reports suggest the Federal Reserve was checking rates in EUR/JPY and may have been selling euros against the yen, although it remains unclear whether US authorities have also been directly

selling USD/JPY.

Questions also remain over the scale of US participation. *Reuters* published a photograph of Treasury Secretary Scott Bessent's handwritten notes referencing plans to purchase \$5-10bn of yen. In practice, we suspect the amounts deployed may prove smaller. Unlike Japan, the US holds only limited foreign exchange reserves, meaning the signalling effect of intervention is likely to matter more than the volume of flows.

The US holds roughly \$38bn of foreign currency reserves, split broadly evenly between the Treasury's Exchange Stabilization Fund (ESF) and the Federal Reserve's System Open Market Account (SOMA). Around 70% of those reserves are held in euros, with the remainder invested in yen-denominated assets.

Q: Why now?

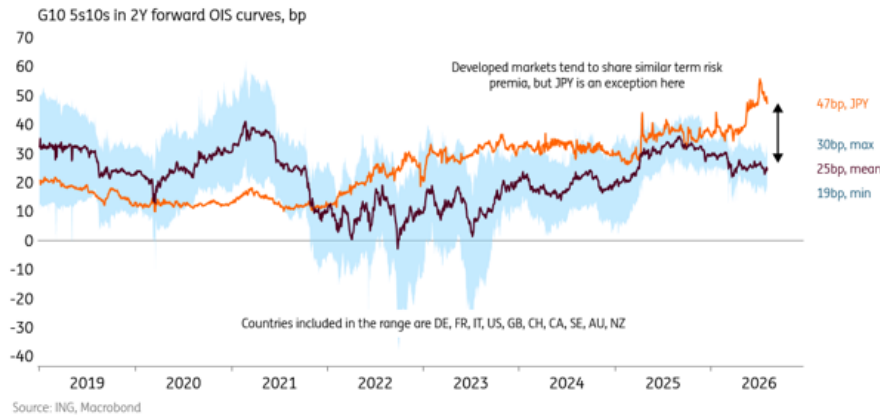
Joint intervention has not come as a complete surprise since the Fed did check the USD/JPY rate back in January. Bessent has been supportive of Japanese intervention for a while and has acknowledged that the yen is very undervalued.

Perhaps Washington felt that Tokyo required some help with the heavy-lifting of the yen, since April/May's \$70bn of FX sales had failed to prevent USD/JPY from trading to a new high at 164. That yen weakness was seen contributing to Japan's 30% year-on-year increase in import prices and, in turn, weighing on JGBs.

Also, in the rates space, the nervousness from investors about Japan has been mounting since the start of the year. The 10Y JGB is trading at the highest yield since the 90s and the momentum is clearly there to move higher still. And this is not just an inflation story – real rates rose more rapidly over the past year than break-evens.

Instead, we argue that investors are also increasingly demanding a risk premium to hold JPY rates, adding upward pressure to 10Y JGB yields. In the figure below, you can see that the slopes (in 2Y forwards) of most G10 currency swap curves tend to trade very closely together, especially in recent years. The JPY curve is the exception here. The much steeper curve is evidence that investors are demanding a higher return for exposures to Japanese rates.

Investors are demanding an increased term risk premium for holding JPY rates



Source: ING, Macrobond

Did Washington feel that the JGB sell-off was undermining Treasuries as well? The higher risk premium of JPY does not immediately trigger large spillovers to markets abroad, but the selling of UST holdings by Japan would pose a more material risk. Japan is one of the largest foreign investors with holdings of around \$1.1tr. However, there have been reports today that Japan could use the Fed's FIMA repo facility to raise intervention dollars against its Treasury collateral, rather than selling those securities. Yet, the single counterparty limit there is \$60bn, which could be quickly consumed.

When looking at historical flows data, we see that Japanese investors tend to buy USTs when relative FX-hedged yields are attractive. With a steeper JPY curve, the relative value turns away from USTs, in favour of JGBs. With the record US deficit unlikely to be addressed anytime soon, foreign buyers will need to play an important role to prevent UST yields from breaking higher.

Q: Will the US try to get the rest of G7 and G20 on side?

For now, intervention remains a bilateral US-Japan operation. A more powerful signal would come from broader G7 or G20 backing. The next opportunity arrives at the G20 Finance Ministers and Central Bank Governors meeting in Asheville, North Carolina, from 31 August to 1 September, where Washington could seek wider endorsement for efforts to stabilise the yen.

We think the chances of securing explicit multilateral support are low. The challenge is that many G20 members are likely to view yen weakness not as a case of market dysfunction, but as the consequence of Japan's own policy mix. Loose fiscal policy, still-accommodative monetary settings and the Takaichi government's growth agenda have all contributed to a weak yen environment. Against that backdrop, other countries may be reluctant to commit political capital or market credibility to a coordinated campaign to strengthen the currency.

Indeed, a formal G20 statement backing yen appreciation would be difficult to reconcile with the longstanding G20 principle that exchange rates should be market-determined. While policymakers may endorse efforts to address excessive volatility or disorderly market conditions, explicit support for a stronger yen appears a much higher hurdle.

Q: Does this represent a new era of US FX activism in global financial markets?

Confirmation of US Treasury purchases of yen would come less than a year after Washington's intervention to support the Argentine peso. In October 2025, the Treasury extended a \$20bn ESF-backed swap facility to Argentina and subsequently used the Exchange Stabilization Fund to help stabilise the peso ahead of the country's mid-term elections. Argentina ultimately drew around \$2.5bn from the facility and repaid the amount in full before year-end.

Taken together, the Argentine and Japanese episodes suggest a Treasury that is becoming more willing to use the ESF in support of broader economic and geopolitical objectives. That marks a notable departure from the relative passivity that has characterised US foreign exchange policy for much of the last two decades.

The comparison should not be taken too far. Argentina was facing an acute balance-of-payments challenge and severe pressure on its currency, whereas Japan remains one of the world's largest creditor nations. If anything, Washington's willingness to support the yen reflects a view that the currency has moved substantially below levels justified by economic fundamentals. On that point, we share Bessent's view that the yen remains materially undervalued.

Q: Will intervention be successful?

With his long experience in currency markets, Bessent will appreciate that macro fundamentals ultimately dominate exchange rates. FX intervention can smooth disorderly market conditions and alter market psychology at the margin, but its primary function is typically to buy time rather than engineer a lasting shift in trend.

Japan's intervention campaign in the summer of 2024 illustrates the point. Those operations proved effective not because of their size alone, but because they coincided with a genuine turn in the US rate cycle as softer economic data paved the way for three 25bp Federal Reserve rate cuts later that year.

The same lesson applies today. The success of this latest intervention effort will depend less on how many yen authorities purchase and more on whether US economic data soften sufficiently to prevent further Fed tightening. That remains ING's central view and underpins our forecast for USD/JPY to decline to 158 by year-end and 152 by end-2027.

Those looking for an aggressive Bank of Japan tightening cycle to reinforce yen strength may be disappointed. The Takaichi government's emphasis on growth suggests the BoJ will remain cautious in withdrawing accommodation. In our view, more promising support for the yen could come from policies designed to redirect domestic savings back into Japanese assets.

This is where developments around NISA merit close attention. The 2024 NISA reforms encouraged substantial retail investment into overseas equities, contributing to persistent capital outflows and a weaker yen. Any future adjustments that broaden the appeal of domestic assets, including greater access to instruments such as JGBs, could help reverse some of those flows.

Ultimately, intervention can create an inflection point, but it cannot overturn fundamentals. A sustained move lower in USD/JPY will require narrower US-Japan rate differentials and a softer US economic backdrop. Without that, even coordinated intervention risks being remembered as another attempt to slow the dollar's rise rather than reverse it.

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Article | 3 August 2026

UNITED STATES

Webinar: What if... The Fed cuts rates by next summer?

Financial markets are expecting a Federal Reserve rate hike to come as soon as September. But what if investors have got it the wrong way around? Join us this Thursday for a live webinar on the outlook for US interest rates and the dollar. [Sign up here](#)



Financial markets are expecting a Federal Reserve rate hike to come as soon as September. But what if investors have got it the wrong way around? How could inflation surprise us, and what would it mean for the dollar?

Join us the day before a crunch US jobs report for the second episode of **What if?** – a new summer webinar series hosted by James Smith exploring what could turn today's market consensus on its head.

You'll learn:

- What it would take for the Fed not to hike rates this year and what data matters most
- How Kevin Warsh is reshaping the Federal Reserve
- Why the Fed could cut rates in 2027
- What ING's call for the Fed means for the dollar

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Details

Date: Thursday 6 August

Time: 1400 BST/1500 CEST/0900 ET

The webinar will last 30 minutes, including Q&A.

The event will take place online, and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Note: If you registered for or attended our recent webinar on oil prices, you'll automatically be signed up for this event and future events in our What if? series. Add it to your calendar by following the instructions [on this page](#)

Speakers

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Article | 23 July 2026

FX

Sterling's rally is not built to last

Sterling's rally has been driven more by positioning, carry and potentially some M&A flows than by a lasting improvement in UK fundamentals. With UK short-dated rates likely to drift lower and fiscal risks set to return ahead of the autumn, we expect sterling to hand back recent gains. Our central view remains for EUR/GBP to rise towards 0.88 by year-end



We expect sterling's strength to reverse as we see positioning, carry and M&A flows driving the rally rather than fundamentals

Not driven by a UK re-rating

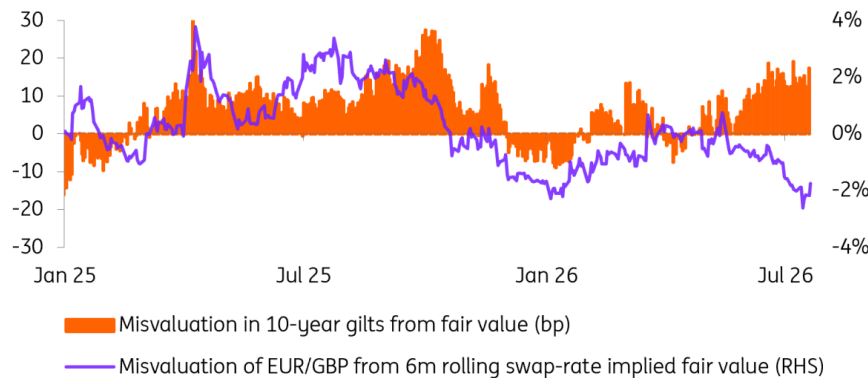
Sterling has had a pretty good summer so far. Even though it is off recent highs, sterling has still managed to rally about 2% against the euro over the last month and has generally performed well against a strong dollar.

Normally, a sustained rally in sterling would be driven by some good news – be it on growth, relative rate differentials, fiscal improvements or just capital inflows. It's hard to pick out anything concrete here, but justifying sterling's rally on a perceived fiscal improvement – for example, Andy Burnham's choice of chancellor – looks wide of the mark.

Below we show a relationship between the UK risk premium embedded in the gilt market versus that embedded in the FX market. Through 2025, both 10yr gilt yields and EUR/GBP

traded above levels normally associated with common financial variables. While that risk premium has remained in gilts for most of 2026, it has evaporated in sterling. As a result, this sterling rally is not a classic re-rating story.

Risk premium remains in gilts, not sterling



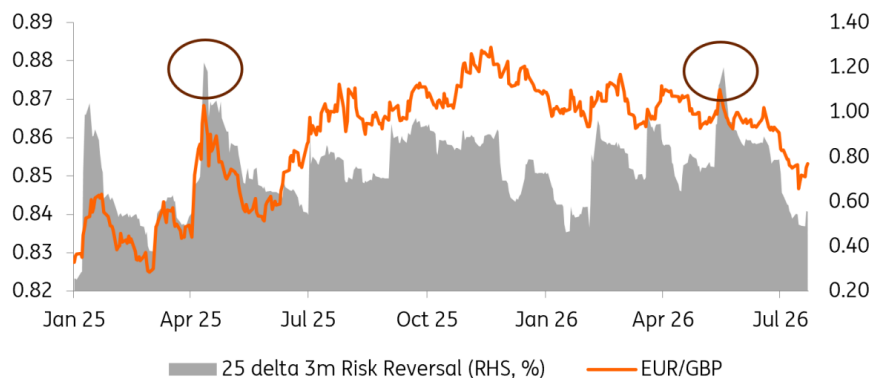
Source: ING, Refinitiv

Positioning explains more than fundamentals

A better explanation of the sterling rally – one which appeals to us much more – is the combination of a short squeeze and some one-off flows. On the former, it looked like speculators had turned exceptionally bearish on sterling ahead of UK local elections in early May on the (correct) assumption that poor results would spell the end of Prime Minister Keir Starmer's premiership. That bearish sterling sentiment can best be seen in the FX options market, where the risk reversal – the cost of buying a EUR/GBP call over an equivalent put option – rose to the most expensive levels seen since April 2025. That was when global financial markets were in turmoil after President Donald Trump's 'Liberation Day' tariffs.

Sterling failed to sell off in the immediate aftermath of those election results, and we suspect a combination of sterling's relative high risk-adjusted yields in quiet summer markets and potentially some large one-off sterling buying flows caught the market exceptionally short. In terms of those flows, there has been speculation that M&A activity could be in play.

EUR/GBP versus three month risk reversal



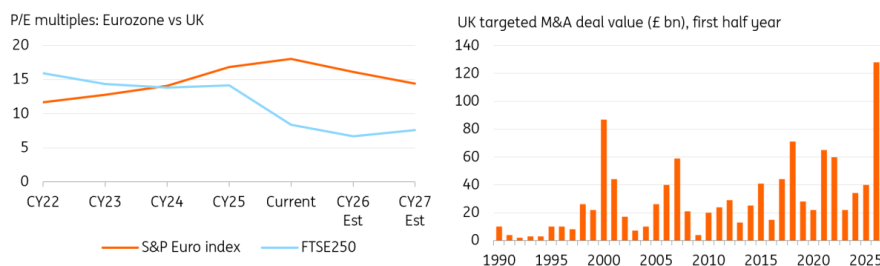
Source: Refinitiv, ING

The M&A story is probably being overstated

Connecting M&A activity with currency moves is typically a thankless task – particularly when this cross-border activity can be FX-hedged, can be spread over many months and can be locally funded. Yet the available data does suggest there has been a huge pick-up in UK targeted M&A flows this year on the view that UK corporates are cheap.

Current price earnings multiples for the FTSE 250 trade at a steep discount to the S&P Euro index (around 180 names) and announced UK inbound inflows are running at record highs. Announced flows into the UK dwarf anything seen in continental Europe, with UK deals focusing on Financials (Schroders, Beazley, Allfunds Group), Consumer Staples (Food assets/Unilever) and Industrials (Intertek, Rotork).

UK versus eurozone P/E multiples and UK M&A inflows

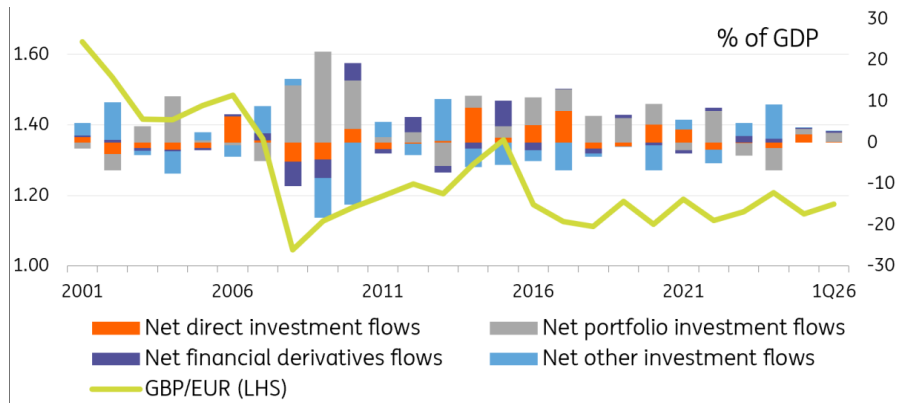


Source: LSEG, ING calculations

Pending and completed deals for UK companies this year add up to a staggering £220bn on some measures. But what we would say is that, over the last 25 years, net portfolio flows have on average been nearly five times larger than net direct investment flows. This can be seen below when looking at financial account flows as a % of GDP.

While M&A flows may occasionally grab the headlines in currency markets, they rarely drive sustained moves in currencies.

UK net investment and portfolio flows versus GBP/EUR



Source: UK Office for National Statistics, Refinitiv

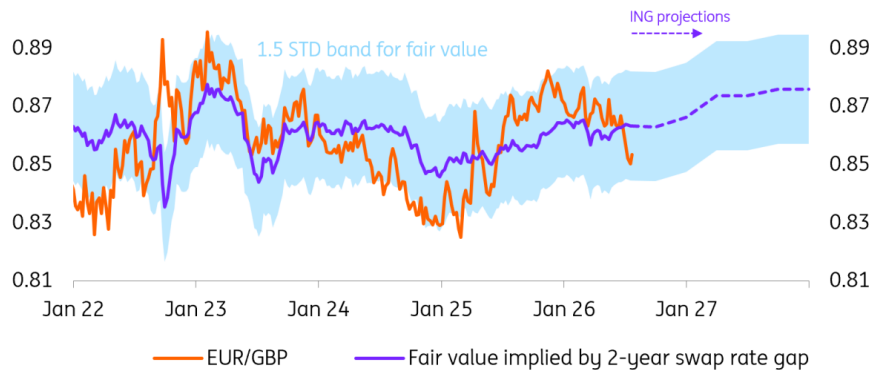
The real driver ahead is the Bank of England

What typically explains currencies is relative growth trends and what they mean for the monetary and fiscal mix. Coming back to basics, EUR/GBP has lacked a sustained trend since 2022, but interest rate implied fair value has consistently acted as an anchor around 0.86. The fair-value estimate is derived from a 10-year weekly relationship between EUR/GBP and the EUR:GBP 2Y swap spread, providing a stable benchmark against which to assess valuation. As shown in the chart below, periods of substantial over- and undervaluation have typically reversed over time.

The pair currently sits close to the lower edge of the 1.5-standard-deviation valuation band, suggesting limited downside potential barring a substantial swing in short-term differentials in favour of the pound. On the contrary, our swap rate forecasts imply a gradual rise in EUR/GBP fair value over the coming years. That is based on the house view that UK inflation looks, barring a much larger energy surge, unlikely to challenge the 4% area – the 4% threshold seen as the trigger for a Bank of England hike. An unchanged UK policy rate and one further European Central Bank hike to 2.50% is our house call over the next six to nine months.

Our call on rate spreads suggests EUR/GBP should trade higher from here. But what about the fiscal story? Could there be any surprises there?

Short-term rate differential is the medium-term anchor for EUR/GBP



Source: ING, Refinitiv

Tight fiscal arithmetic becomes harder to ignore

Like much of Europe, there are plenty of reasons to be downbeat about the UK's public finances. Spending pressures are growing – from defence to health and social care. Debt interest costs are high and rising, not helped by Britain's large stock of index-linked bonds and increasing reliance on foreign investors (particularly hedge funds). The tax burden may be the highest in decades, but spending has risen more significantly as a share of GDP since 2019. And tax on wages – income tax and social security – is among the lowest in Europe as a share of average labour costs.

That said, the UK is also a rare example of a country undergoing some meaningful fiscal consolidation. Since 2021, the tax thresholds have been frozen in cash terms. And subsequent waves of inflation have dragged more and more people into higher tax brackets, increasing tax revenues as a share of GDP. This fiscal drag is planned to continue over the remainder of this decade. And it's a key reason why gilt issuance is falling significantly – from £303bn in FY2025 to £246bn in the current fiscal year.

In short, there's a more positive near-term public finance story even if longer-term, it's hard to see how borrowing doesn't increase over and above current budget plans.

Over recent weeks, investors had become more relaxed about Burnham's appointment, following his commitment to stick to the existing fiscal rules. In theory, that precludes a stimulus package this autumn that would either materially increase gilt issuance or change the calculus for the BoE. But Burnham's recent openness to bigger changes – including lifting the tax-free allowance and greater funding for social care – means a bolder budget can't be ruled out. Investors will be particularly sensitive to any headlines on tweaks to the fiscal rules in the run-up to Burnham's first budget this October or November.

Sterling to hand back gains

Sterling's summer rally has come as a surprise to most, but it looks to be built on weak foundations. Into the autumn, we expect UK short-dated rates will be coming lower and the UK's fiscal position will again be under scrutiny. That means EUR/GBP doesn't need to spend too long down at these levels near 0.85 and we remain comfortable with our call for a move to 0.88 by year-end and a push to 0.90 in 2027. And based on our view that the Fed does not tighten in this cycle and the dollar softens, GBP/USD should continue to trace out a 1.32-1.36 range.

ING's forecasts for GBP

	2026		2027			
	Q3	Q4	Q1	Q2	Q3	Q4
EUR/GBP	0.87	0.88	0.89	0.90	0.90	0.90
GBP/USD	1.34	1.34	1.33	1.33	1.34	1.36

Source: ING

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Article | 22 July 2026

TRADE UNITED STATES

A new round of tariff woes: disturbing but not disruptive (for now)

Just when it seemed the summer break was within reach, a new round of trade tensions is already looming. August is increasingly shaping up to be another summer month dominated by trade disputes and tariff headlines



The last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation.

Trade tensions are back. While markets have been focusing on the war in the Middle East and the renewed rise in energy prices, the last two weeks have again been very busy on trade and tariffs, even by the standards of last year. Here is the latest state of play:

- Canada gets hit hardest. On 20 July, US President Donald Trump signed three proclamations imposing 50% tariffs on Canadian goods under Section 338, citing discriminatory treatment of US exports, effective 19 August, with carve-outs for energy, potash, critical minerals, fish, and goods already under Section 232. Section 338 (which dates from the Smoot-Hawley era in the 1930s) is a new legal frontier and, so far, has been untested in court.
- The new tariffs on Canadian imports are another sign that the North American trade

pact is now formally on its way out. Trump's decision not to extend the United States-Mexico-Canada Agreement on 1 July triggered a 10-year wind-down process. That mechanism is doing exactly what it was designed to do: create negotiating leverage. This week, US and Mexican officials launched a third round of bilateral talks in Mexico City, focusing on technical issues related to steel, aluminium, automobiles and labour standards. For now, it appears that Washington is seeking to negotiate a bilateral successor agreement with Mexico while increasingly treating Canada as an adversary.

- There are also clear efforts to respond to the Supreme Court's February ruling that struck down tariffs imposed under the International Emergency Economic Powers Act (IEEPA). The administration's emergency fix was to invoke Section 122 of the Trade Act of 1974: a temporary balance-of-payments surcharge that Congress capped at 15% and limited to 150 days. As a result, it will automatically expire at 12:01 a.m. on 24 July, exactly 150 days after it came into effect.
- That was always scaffolding, never the building. The permanent replacement began to take shape on 12 March, when the US Trade Representative launched Section 301 investigations into forced labour as part of an explicit strategy to rebuild the tariffs struck down by the Supreme Court. The Section 301 action covers roughly 60 economies – about 99% of US import value – in two tiers: 10% tariffs on 14 economies including the EU, UK, Canada and Mexico, and 12.5% on 46 others, including China, Vietnam, India and Japan. Unlike Section 122, Section 301 has no statutory rate cap and no built-in expiry date. These tariff rates are probably low enough for most US trading partners not to oppose them. The European Commission, for example, has already signalled that these duties are unjustified but that it would accept them as long as they stay under the 15% Turnberry cap. Pragmatism dressed as principle, or principle dressed as pragmatism?
- There has been trade policy as theatre, with NATO as the stage. Trade policy has also become political theatre, with NATO serving as the stage. At the NATO summit on 8 July, Trump said he wanted to “cut off all trade with Spain, including visits”, describing the country as “a terrible partner in NATO” that neither contributes nor pays its fair share. Why does this mainly fall under the label ‘theatre’? Well first, trade policy is an exclusive EU competence and there is no legal instrument for tariffing one member state out of the single market. Anything targeting “Spanish” goods would hit EU goods and collide head-on with the Turnberry framework the US government itself signed. Second, the arithmetic argues against it: the US runs a goods surplus with Spain (roughly \$26 billion in exports against \$21 billion in imports), so an embargo would hurt American exporters more than Spanish ones. And third, the threat already served its purpose: within a day, Trump claimed Spain had “come back all the way” and agreed to pay more after the embargo threat. Whether Madrid actually conceded anything is disputed, but the pattern is the recognisable one: maximal threat, declared victory, quiet de-escalation.

New tariff woes: disturbing but not disruptive

All of these developments suggest that trade policy is once again moving to the forefront of market attention. However, maybe even more so than last year, the headlines are proving more disruptive than the reality. Admittedly, this latest bout of tariff brinkmanship comes at a time when the global economy is in a weaker position than it was on Liberation Day, not least because of higher energy prices. At the same time, however, the last 12 months have shown that US tariff announcements tend to be far more dramatic than their eventual implementation. The world has also adjusted to at least some degree of higher trade barriers. As a result, while a fresh round of tariff threats may disrupt the summer lull, it's unlikely to have the same disruptive power as it did last year. For Europe, at least, the drought and exceptionally low water levels in key waterways may ultimately prove more disruptive than the latest tariff woes.

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Article | 20 July 2026

COMMODITIES, FOOD & AGRI

El Niño casts a shadow over agri markets, but global food fears may be overblown

Forecasts point to a strong El Niño event at the end of 2026, raising fears over food supplies and prices. While we believe these fears are overstated at the global level, El Niño poses a more significant regional risk to agricultural output, particularly in Asia-Pacific, meaning food and agribusinesses should prepare for potential disruptions



A farmer in Manila, the Philippines. The impact of El Niño on global agricultural output is fairly limited, but Asia-Pacific is more exposed

El Niño at a glance

- El Niño is only one factor shaping commodity prices
- APAC among the most exposed regions
- Asian aquaculture is already feeling the impact
- The Indian monsoon season has got off to a slow start
- Forest fires, river water levels and rain onset data provide early warning signals
- El Niño can cause large production swings at the national level

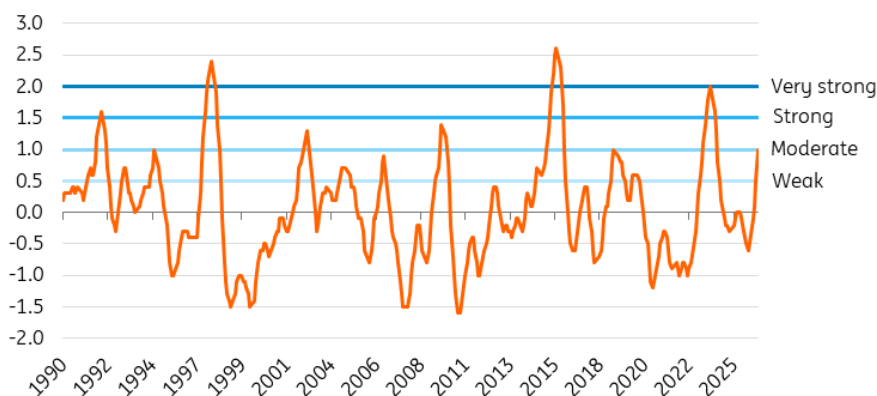
- At the company level, we'll see both short-term pain and short-term gain

Hola, El Niño! What happens when Hormuz and El Niño meet?

Global agricultural markets are still dealing with the impact of the disruptions to energy and fertiliser flows through the Strait of Hormuz. And as [recent developments highlight](#), this risk is still very present. However, a new risk is building for agri markets, which has the potential to ripple through to the broader food and agricultural sector, and ultimately the global economy, in the form of food inflation. This risk is El Niño, which is now upon us, and forecasts are growing for a very strong event by year-end.

2026/27 El Niño has been gaining strength

Oceanic Niño Index with threshold levels, three-month running average up until June 2026

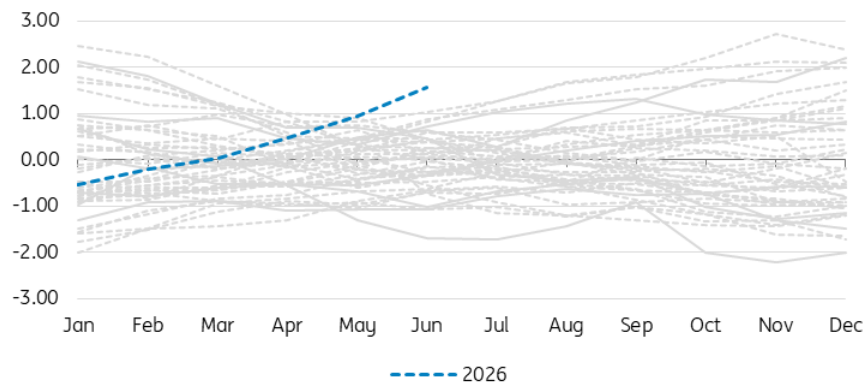


Source: NOAA, ING Research

Data from the National Oceanic and Atmospheric Administration, a leading US agency, shows that sea surface temperatures in a certain part of the Pacific Ocean (which provides a good indication of El Niño conditions) continue to rise, with an anomaly of +1.5 degrees Celsius in June, and this is expected to rise further through year-end. This is the highest reading for June going as far back as 1982. NOAA forecasts that there is a 97% chance that these conditions will continue through early 2027, and an 81% chance of a very strong El Niño during October to December of this year, placing it among the strongest on record since the 1950s.

Sea surface temperatures in El Niño region in June above historical levels

Monthly sea surface temperature anomalies in the El Niño 3.4 region, 1982–2026



Source: NOAA, ING Research

A realistic view: the impact of El Niño on global agricultural output is fairly limited

This all sounds very alarming, and hardly a day goes by when you don't read about impending declines in agricultural output and higher spikes in food prices. Fearmongering generates clicks, and, of course, El Niño can have a significant impact on certain regions and crops, but it can also be beneficial to other regions and crops, [including soybeans](#). Clearly, the big caveat is that no two El Niño episodes are the same, so there is always a higher degree of uncertainty and risk.

However, if we look at agricultural output for some key crops through moderate to very strong El Niño events in the past, the impact on global agricultural output has been [fairly limited](#). Admittedly, the 2015/16 El Niño event did have a broad-based impact on key agricultural commodity output. But again, on the whole, not alarming.

Technology has also made El Niño less disruptive to agricultural output than it was 30–40 years ago. Wider irrigation coverage helps reduce water stress for crops. In 1980, farmers had equipped around 11% of cultivated area for irrigation; by 2023, that share had doubled to 22%. They also used irrigation more intensively: the share of equipped area actually irrigated rose from around 65% in 1980 to almost 83% in 2023.

Seed technology has advanced as well, improving drought tolerance in some crops. Satellite technology has also strengthened crop monitoring, giving producers and buyers better visibility on emerging stress.

Finally, let's not forget that Brazil has become an agri powerhouse over the last 20–30 years,

and El Niño can be beneficial for many crops in South America. However, the risk around this comes down to concerns over fertiliser availability, particularly given the re-escalation of tension in the Middle East.

Looking at global agri output changes for some key crops during El Niño periods does not scream crop shortages. That said, the effects on some perennial crops, such as palm oil and sugar cane, can become more apparent in subsequent years.

Upward and downward shifts in global crop output during El Niño periods

Output change (YoY %) for key agri commodities during last five moderate to very strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Corn	-3%	0%	3%	-4%	6%
Wheat	5%	-2%	0%	1%	0%
Soybeans	20%	6%	23%	-2%	5%
Rice	2%	-5%	-2%	-1%	1%
Palm oil	-4%	9%	4%	-5%	-1%
Sugar	1%	11%	7%	-7%	0%
Coffee	-6%	14%	-5%	-1%	3%
Cocoa	-1%	10%	1%	-6%	-13%

Source: USDA, ING Research

El Niño is only one of many factors shaping commodity prices

The story does not end with supply. At the end of the day, consumers and governments care about food prices. Yet a look at the UN FAO Food Price Index across past El Niño episodes does not point to a clear pattern of rising prices. In fact, during several of these events, the index actually declined.

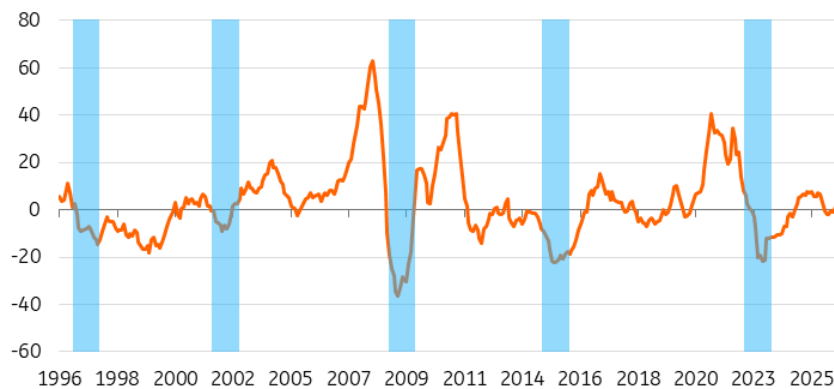
The biggest increase during recent El Niño periods occurred during 2009 and 2010. However, this move was part of a broader recovery in commodity prices with Chinese stimulus and the global rebound following the financial crisis. It would be unfair to attribute this rise in prices to El Niño. Similarly, recent significant spikes seen in the FAO food index have generally been driven [by factors other than El Niño](#), including demand shocks and tight inventories. So, while it is prudent to be alert to the risks relating to supply and prices, particularly with forecasts for a very strong El Niño this year, we would caution against assuming that the global outlook is bleak.

Adding another layer of reassurance to markets will be the fact that grain inventories are very comfortable, providing a buffer against potential supply shocks. However, in a scenario where

inventories are drawn on heavily, markets will be left relatively tighter post-El Niño.

Recent spikes in food commodity prices outside El Niño events

Year-on-year change in FAO food price index with moderate to strong El Niño periods highlighted



Source: United Nations FAO, ING Research

A deep dive into Asia Pacific: one of the most exposed regions

While global food and agricultural production should remain broadly resilient, there will of course be regional variances and localised impacts. The [Asia-Pacific](#) region has historically borne more of the brunt of El Niño, with parts of South and Southeast Asia, as well as northeastern Australia, experiencing drier than usual weather conditions. There is a significant probability that weather disruptions will intensify during the second half of 2026, compounding what has already been one of the hottest periods on record for many countries in the region. That combination poses risks for various crops, including Australian wheat, Indonesian and Malaysian palm oil, Thai and Indian sugar production, as well as rice output across parts of the region.

Asian aquaculture is already feeling the impact...

The potential impact on crops is receiving most of the attention. But one industry that's [heavily concentrated in Asia](#) and is already exposed is aquaculture. Catch restrictions on Peruvian anchovy due to El Niño have led to [a more than 75%](#) year-on-year increase in fishmeal prices, also because Peru is a leading producer of this essential ingredient for fish and shrimp feed. For farmers and aquaculture companies across Asia, that's concerning given that feed is their largest cost component (typically 55% to 65% of total farm expenses).

...meanwhile the Indian monsoon season has got off to a slow start

The Indian monsoon offers another important warning signal for possible El Niño weather patterns. Running from June to September, the season has got off to a slow start, and the Indian government has forecast rainfall at just 90% of the long-term average for 1971–2000. Although rainfall has since moved closer to normal levels, it still stands 24% below normal so far this season. This gap could narrow over the rest of the monsoon, but alarm bells are already ringing. Some agri markets could face additional pressure if concerns over domestic food availability push the Indian government to impose export restrictions. The government has done this before and earlier this year banned sugar exports at least until the end of September 2026.

Forest fires, river water levels and rain onset data provide early warning signals

While other supply chains across APAC don't have the same exposure yet, fish feed prices and the Indian monsoon act as the proverbial canary in the coalmine because they offer an early indication of what may follow. So, what other signals might provide a glimpse of what's to come? At first sight, real-time data on forest fires in Indonesia, water levels in the Mekong River, and the latest forecasts for the onset of the northern Australian wet season appear unrelated. But taken together, these indicators offer an early warning of where El Niño could begin to disrupt agricultural supply chains across the Asia-Pacific region next.

El Niño can cause large production swings at the national level

Output data for key agricultural commodities across APAC confirms that the region tends to be more vulnerable to El Niño, particularly during strong episodes. Looking at the region in aggregate masks strong crop declines at the country and crop level. For example, Australian wheat output often comes under pressure during El Niño periods, even during weaker episodes. And the declines can be very sharp. In 2002/03, Australian wheat output fell by 58% YoY, while during the most recent El Niño in 2023/24, production declined by 36% YoY.

Very strong El Niño in 2015/16 coincided with a drop in crop production in APAC

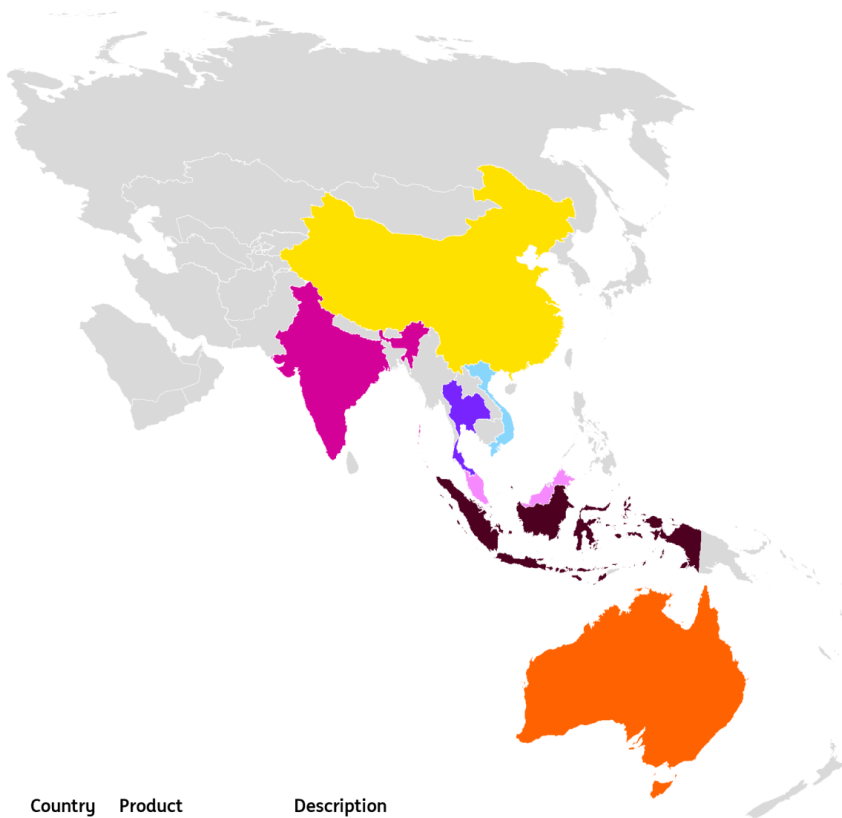
Output change (YoY %) for key agri commodities in the Asia Pacific region during the last five moderate to strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Wheat	8%	-7%	5%	-3%	-2%
Corn	-15%	4%	-2%	5%	3%
Rice	2%	-6%	-2%	-1%	1%
Sugar	-3%	14%	4%	-9%	-13%
Palm oil	-5%	10%	4%	-6%	-1%

Source: USDA, ING Research

Meanwhile, APAC sugar production consistently sees declines during strong El Niño events, with declines led by India and Thailand. Moreover, the impact on supply is not confined to the El Niño period itself. Because sugar cane is a perennial crop, production can remain under pressure in the following year as well.

Rice, sugar, wheat, aquaculture and beef all exposed in APAC



Country	Product	Description
Australia	Wheat, sugar, beef, dairy	Prolonged drought can reduce crop yields and pasture availability. Also leading to increasing feed costs, lower milk output and pressure on livestock herds.
China	Corn, sugar	Overall impact more moderate, main concern around corn due to larger likelihood of summer droughts.
India	Rice, wheat, sugarcane	Rainfall deficits can pressure yields. Lower crop output could turn India into a net importer of certain crops.
Indonesia	Palm oil, rice	Drier conditions may affect yields, reduce availability of water for irrigation and increase wildfire risk, particularly in plantation and forest areas.
Malaysia	Palm oil	Drier weather can reduce palm oil yields and raise plantation fire risk.
Thailand	Rice, sugar, aquaculture	Lower water availability can affect crop production and freshwater aquaculture.
Vietnam	Rice, aquaculture	Increased risk of drought, in the Mekong River delta drought and saltwater intrusion could affect crops like rice and aquaculture.

The corporate response: how to prepare for yet another risk

Agri & food companies have had to manage their fair share of risks over the past few years, and climate-related risks are a recurring theme. With another major event on the horizon and knowing that APAC is more exposed, it makes sense for companies that either produce in or source from the region to go over their prep work again.

That includes at least three steps: risk assessment, risk reduction and preparation for any rapid response measures.

1. Closer monitoring of developments, combined with company-specific data, enables decision makers to identify whether any material impact is expected. This goes beyond the procurement team because other areas like logistics can also be affected. Weather disruptions can hinder logistics within the region as well as major trade routes to the US, where we already see some restriction of [capacity in the Panama Canal](#).
2. If there is a material impact, companies can take additional measures to reduce risks. This could be through physical measures, including improved irrigation, additional water or feed storage and measures to reduce risks of forest fires. Taking financial measures can also help traders manage risk, for example by focusing on their hedging strategies, maintaining adequate liquidity, and protecting profitability.
3. Another way to reduce risk is by increasing operational flexibility. Capacity utilisation in food processing could be affected when farmers make different planting decisions or when harvests are lower or delayed. More substitution of certain inputs might be required. Coming back to our fishmeal example, the jump in fishmeal and fish oil prices means that feed companies have an incentive to use alternatives, including soymeal and algae in their feed mix. The companies that succeed in doing so will have a cost advantage.
4. Physical or regulatory disruptions could occur later this year. Export restrictions from individual Asian countries on certain crops to shield domestic supply are one example.

Designing a dashboard to better assess risks

So, if you're a decision maker in the food industry and want to keep a close eye on how the impact of El Niño develops in APAC, what would your 'risk monitoring dashboard' look like? In essence, it will likely include data on commodity prices, crop conditions (including [AMIS crop monitor](#), [Abares crop report](#)) and weather patterns (like Indian monsoon [rainfall](#)). We argue that adding real-time data on physical indicators can further improve visibility on what happens on the ground.

Examples of such data are:

- Sea surface temperatures in [El Niño area](#)
- Anchovy landings in [Peruvian ports](#)
- Water reservoir levels (for example in India, [Thailand](#))
- Water levels in [the Mekong river at Kratie](#) in Cambodia
- Forest fires [in Indonesia](#)

Many of the larger food & agri companies will have a certain kind of monitoring in place because of previous extreme weather events or other supply disruptions, especially if they're operating more upstream. But for others, including companies operating more downstream in the food & agri value chain, the 2026/27 El Niño could be the trigger to invest more time and resources to better prepare for any hit to the supply chain. Even if the impact at a country or

commodity level turns out to be less severe than feared, good planning now will help with the next weather-related supply shock.

Short-term pain and short-term gain at the company level

We have argued that El Niño tends to have a limited impact on global agricultural supplies and food prices. That said, its effects can be significant at the regional level, with Asia-Pacific among the most vulnerable regions. The current situation highlights the wide range of risks companies must manage, from geopolitics to climate-related disruptions. While some businesses are likely to face short-term challenges, others may benefit from short-term opportunities. For companies in the APAC region, the ability to adapt will be crucial in the event that conditions deteriorate. Meanwhile, food and agriculture businesses elsewhere, particularly in the Northern Hemisphere, could benefit in the near term if production in the most affected regions falls short of expectations.

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Article | 4 August 2026

MANUFACTURING, CONSTRUCTION AND RETAIL THE NETHERLANDS

Dutch housing permits hit 10-year high, but construction still slow off the ground

The Dutch construction sector is expected to stabilise in 2026 after a weak start to the year. In 2027, building volume will grow slightly again, mainly because more building permits issued will gradually lead to more housing construction. Nevertheless, the recovery remains limited



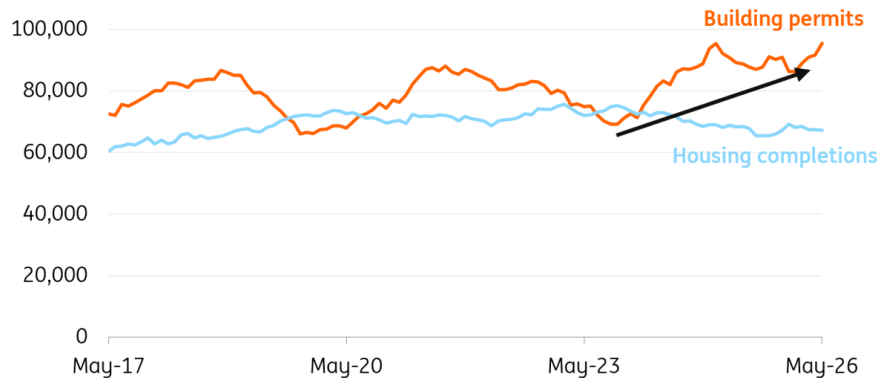
More building permits are set to support a gradual recovery in Dutch housing construction, though growth remains modest

More permits, but no quick breakthrough yet

In May, 10,628 building permits were issued for new-build homes, the highest monthly number since the start of the current measurement method in 2015. However, permits do not translate directly into new homes. Projects can be delayed while homes are sold, plans revised, or permits renewed. As a result, the number of housing starts typically trails the number of permits issued by 10,000 to 15,000 each year.

Number of building permits on the rise again

Number of Dutch new-build homes, rolling annual total per month up to and including May 2026



Source: CBS, ING Research

71,000 new-build homes in 2026 and 74,000 in 2027

In the first four months of 2026, 7% fewer new-build homes were built than in the same period last year. That shortfall will need to be recovered over the remainder of the year, which is why we expect only a modest increase to around 71,000 completed homes in 2026, rising further to 74,000 in 2027.

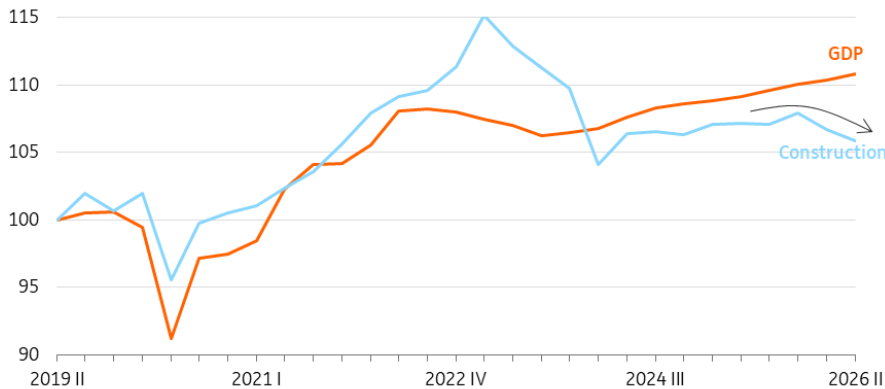
Infrastructure sector remains an important driver, but growth is levelling off

The infrastructure sector remains the strongest subsector within Dutch construction. The outlook for the infrastructure sector is also positive. Since 2020, production in the infrastructure sector has shown persistently high growth rates, with volume growth of 10.5% in 2025. However, we do expect volume growth to be much lower in 2026 and 2027.

The growth rate in the infrastructure sector is slowing down due to high construction costs, staff shortages, nitrogen restrictions and limited government budgets. Because of these limited budgets, the government has decided to prioritise maintenance instead of new construction. The recent closure of the Merwede Bridge for trucks due to overdue maintenance also shows that this is needed. However, production levels in the infrastructure sector remain high – they are more than 40% above the level of five years ago.

Construction output falls in first half of 2026

Volumes Dutch construction sector in value added (index Q2 2019= 100)



Recovery remains fragile

Total Dutch construction production contracted by around 1% in both the first and second quarters of 2026. This means that construction has lagged behind the growth of the Dutch economy as a whole since the beginning of 2024.

For the entire year of 2026, ING Research expects zero growth on balance. Slight growth of 1% is expected to follow in 2027, helped by the previous increase in the number of building permits.

A more in-depth analysis on this topic has been published in [Dutch](#).

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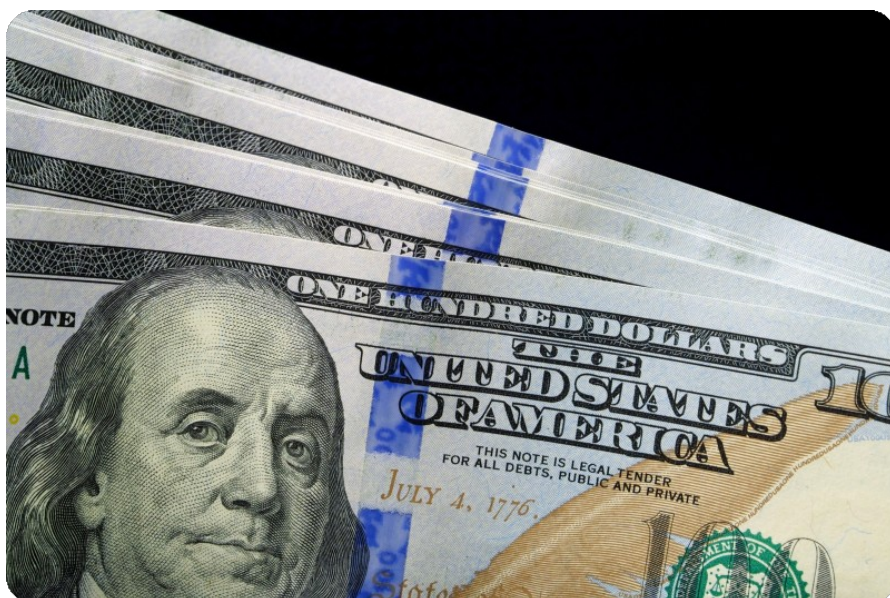
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Article | 4 August 2026

FX

FX Daily: Dollar can recover some ground – if data allows

The dollar is trading on firmer footing at the start of this week. With this round of large-scale JPY intervention on the books and a more balanced speculative positioning, a batch of soft US data is needed this week to add more pressure on the greenback. We see room for some USD recovery in the next couple of days



📈 USD: Some upside risks this week

The dollar has found some support at the start of this week. This round of JPY intervention ([which we analysed in detail here](#)) may be over, lifting a key source of further downside risk for the dollar for the remainder of this week. Also, the positioning picture for USD is probably more balanced now compared to a week ago.

Our calculations based on CFTC figures show aggregate net-long USD speculative positioning vs reported G9 currencies (G10 excluding NOK and SEK) at almost 26% of open interest the day of July's Fed meeting. That was slightly above the peaks of January 2025 and April 2024, and the most overbought the dollar had been since May 2019.

If position-squaring exacerbated the dollar selloff last week, we think further USD losses from

here require a more compelling macro argument. That is, soft data justifying a new round of dovish repricing. Yesterday, ISM manufacturing surprised on the upside, with strong gains in the employment sub-index. For the rest of the week, focus is shifting firmly to the jobs market. Today, the focus is on JOLTS job openings for June, expected to have slowed to below 7.5m.

Unless ADP tomorrow and, more importantly, payrolls on Friday point to a clearly weakening jobs market (the 80k payroll consensus suggests the opposite), we do not expect the dollar to fall much further in the near term. Uncertainty over the next stage of US-Iran negotiations may also help limit downside pressure on oil prices. Markets may ultimately maintain pricing for a September Fed hike above 50% (currently 65%), and we keep a modest bullish bias on the dollar this week.

Francesco Pesole

↓ **EUR: Slightly overvalued**

Our short-term fair value model suggests EUR/USD is modestly overvalued (around 0.5-1%) at current levels. It's not a very strong directional signal, but does endorse our perception that EUR/USD needs help from a favourable shift in short-term rate differentials (i.e. dovish Fed repricing) to take another leap higher.

Our baseline for this week is for EUR/USD to edge back below 1.150 on a more supported USD, but unless US jobs figures come in particularly hot, we don't see a return to 1.140 in the near term.

Francesco Pesole

↓ **NZD: Jobs data shouldn't derail hiking plans**

New Zealand releases its 2Q labour market data tonight. High-frequency indicators point to only 0.1% QoQ employment growth, while unemployment is expected to edge up from 5.3% to 5.4%. That would broadly match the Reserve Bank of New Zealand's May projections, which implied 1-2 hikes in 3Q. Since July's hike, markets have continued to price around 20-25bp of tightening for the 2 September meeting.

We have long favoured a hike in either September or October, but our conviction around a September move has increased recently. The main reason is that markets may be overstating the scale of the tightening cycle, with 75bp priced in by February. We suspect two of the six policy committee members were not fully aligned with May's hawkish shift, meaning the narrative may ultimately settle around a smaller 50bp "insurance" tightening cycle. If so, that would argue for an earlier move in September and then a pause.

NZD has been one of the stronger performers since the Fed meeting, clearly outpacing AUD after the latter suffered a sharp dovish repricing following a soft CPI release. NZD/USD may

remain around the 0.585-0.590 range for now, but a September hike delivered with a slightly dovish tone could prompt some correction and open the door to a period of AUD outperformance relative to NZD. Our year-end target for NZD/USD is currently 0.59, though 0.60 is looking increasingly attainable.

Francesco Pesole

CEE: Rates relief has further to run

Markets opened on a positive note, as expected, following weekend headlines from the Middle East, with rates markets outpricing rate hikes. FX, however, remained sidelined at the start of the week, with limited movement. Market pricing now implies around two CNB hikes over the next 18 months, a little more than one hike in Poland and around three rate cuts in Hungary. We continue to expect rates to remain unchanged in the Czech Republic and Poland, while the Hungarian central bank is likely to deliver more cuts than currently priced in.

Rates, therefore, have more scope to rally if the global backdrop remains supportive. In the Czech Republic and Hungary in particular, inflation prints and this week's CNB meeting should provide additional support. Yesterday's moves largely tracked core markets, with little change in rate differentials. Our views from yesterday are unchanged: a stronger zloty and forint should benefit from global relief, while the koruna is likely to underperform on a dovish interpretation of this week's CNB meeting.

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Article | 4 August 2026

COMMODITIES DAILY

The Commodities Feed: Oil drops amid renewed peace deal hopes

Oil sold off sharply yesterday on optimism that a Middle East deal might be within reach. However, markets may be getting ahead of themselves once again



Energy – Deja-vu for oil markets?

Oil prices dropped sharply yesterday on rising optimism that the US and Iran may be moving closer to reviving a Middle East deal. ICE Brent settled more than 7% lower on the day, after President Trump called off strikes against Iran, aiming to get a deal across the line. He also suggested that talks between the US and Iran have already resumed. Iranian officials continue to deny that any negotiations are under way, insisting that current discussions with Oman are limited to shipping routes through the Strait of Hormuz. At the same time, reports emerged yesterday that a cargo vessel off the Omani coast was struck by an unidentified projectile.

The scale of the sell-off seems fairly overdone, given that there's still considerable uncertainty. We've been in this situation multiple times before, only to see things unravel. And with Iran denying that any talks are underway and Trump issuing warnings if no deal materialises, the backdrop clearly leaves ample room for a renewed escalation.

In the Black Sea, recent days have seen more loading activity at the CPC terminal, which ships

Kazakh oil from Russia's coast. Loadings had been disrupted in recent weeks amid ongoing Ukrainian attacks on Russian energy infrastructure. There have also been risks for oil tankers operating in and around the terminal, leaving shipowners hesitant to load. For now, flows into the terminal still appear to be running below normal levels.

European gas prices also came under pressure yesterday, although not to the same extent as oil, with TTF settling 2.65% lower on the day. There are growing concerns in Europe over storage levels and the slow injections we are seeing, leaving the region more vulnerable as we head into the 2026/27 winter. While storage is only a little above 57% full — below the utilisation seen in 2021 — in absolute volume terms it still sits just above 2021 levels. It's also worth pointing out that EU gas demand is considerably lower now than it was in 2021. So, while the gas market is admittedly tight, it's still quite a bit more comfortable than it was in 2021. EU gas demand in 2025 was 18% lower than 2021 levels.

Metals - Lower oil prices support gold rebound

Gold edged higher, extending its recovery after posting its first monthly gain since February in July. Prices found support from easing geopolitical concerns in the Middle East. Reports of diplomatic efforts aimed at improving shipping conditions through the Strait of Hormuz helped to drive a sharp decline in oil prices. Lower energy prices have eased some inflation concerns, offering a more supportive backdrop for bullion.

Meanwhile, markets continue to assess the outlook for US monetary policy following last week's Federal Reserve meeting. While policymakers kept rates unchanged, uncertainty over the policy path remains elevated as investors weigh persistent inflation risks against signs of moderating economic momentum.

Silver also moved higher, supported by the broader improvement in precious metals sentiment.

Gold is likely to remain caught between improving geopolitical sentiment and ongoing uncertainty over US interest rates. Any further decline in energy prices could help improve the macro backdrop for bullion, though expectations for rates to stay higher for longer may continue to limit upside.

In base metals, zinc climbed to above \$3,700/t. This marks the highest level in nearly four years, driven by tight concentrate supply that continues to squeeze smelter margins and limit refined metal output. Declining exchange inventories and signs of tightness in the physical market have also supported prices, helping zinc extend its recent rally despite mixed demand conditions. Tight mine supply, low treatment charges and falling inventories should underpin zinc prices in the near term. Yet weaker downstream demand could limit further upside.

Agriculture – Vietnam coffee exports surge

The latest data from the Uganda Coffee Department Authority show that Uganda's coffee shipments fell 24% year-on-year to 744.5k bags in June. The decline in exports was largely driven by traders holding back sales as global prices weakened amid an improved supply outlook. Coffee exports reached their highest monthly level of the 2025/26 season, with the department attributing the strong demand performance to improving production prospects. Robusta exports dropped 24% YoY to 668.2k bags, while Arabica shipments eased 26.8% YoY to 76.3k bags. Cumulative shipments for the 2025/26 season (Oct – June) reached 5.6m bags (60kg bag).

Vietnam's statistics office estimates July coffee exports at 396kt — a sharp jump of 287% YoY from 102.4kt a year earlier. This leaves cumulative coffee exports at 1.31mt over the first seven months of the year, up 21% YoY.

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Article | 3 August 2026

FX

FX Daily: Joint yen intervention is a containment exercise

The FX week starts with traders bracing for another day of USD/JPY intervention from Japanese and US authorities. Despite a lot of dollars having been supplied to the market over the last three days – perhaps \$70-80bn – the broader dollar is holding up quite well. Whether that continues to be the case will be a function of this week's US jobs data



Joint US-Japan intervention is rare, but we doubt it drives USD/JPY sustainably under 155

➔ USD: Market still buying into a Fed hike

In theory, the dollar should be broadly weaker today after the US and Japanese authorities confirmed joint FX intervention (more below) and the Japanese probably sold \$70-80bn over the last three days. Lower oil prices should also be weighing on the dollar on reports from US President Donald Trump that negotiation, rather than military firepower, is Washington's preferred method of engaging with Iran.

The fact that the dollar is not broadly weaker probably owes to the unresolved issue of whether the Federal Reserve will hike in September. Having briefly priced less than 10bp of tightening after Chair Kevin Warsh's press conference last week, that pricing has now bounced back to 16-17bp on the view that a failure to hike would lead to a further sell-off in the long

end. Here, US 30-year Treasury yields remain over 5.20% and the 30-year mortgage rate has risen to 6.75%.

It seems the only way the Fed can avoid hiking in September is if the US data is poor enough. A major input to that decision comes this week in the form of US jobs data, including JOLTS job openings, ADP, and Friday's non-farm payrolls report. On NFP, consensus is around +75-80k and probably not quite weak enough to rule out a Fed hike. In other words, the case for a sustained sell-off in the dollar has yet to be made.

For today, the focus should be on a reasonably strong July ISM manufacturing release.

The DXY dollar index will be bounced around by the USD/JPY intervention story, but with decreasing marginal impact from this news story, we suspect DXY could find support near 99.35/40 and can break back above 100 this week.

Chris Turner

EUR: What to make of EUR/JPY intervention?

EUR/USD should probably be doing better, buoyed by decent eurozone [hard data last week](#), lower oil prices and lots of dollar selling from Japan. The fact that it is not may partially be owed to the news that US authorities were checking rates in – and possibly selling – EUR/JPY on Friday. However, we doubt such news will have any lasting impact on the euro. For reference, the US Treasury only has around \$13bn of euro-denominated FX reserves to sell (\$1.2bn in deposits, \$11.7bn in securities), which is barely a drop in the ocean compared to Tokyo's activity in FX markets and the size of global FX flows.

We suspect the US Treasury might have sold EUR/JPY – in effect raising yen investments at the Exchange Stabilisation Fund at the expense of the euro – to avoid having to explain to the US public why it was selling the dollar.

The bigger and more lasting driver of the EUR/USD trend will be the Fed's September decision. That remains unresolved, and US data this week will have a big say if we end the week pressing 1.1615/20 resistance or trading back below 1.15.

Chris Turner

➡ JPY: Intervention as a containment exercise

The big story here is participation from Washington in bilateral intervention with Tokyo. The Fed had checked rates – a precursor to intervention – back in January, but seems to have pulled the trigger on Friday. Why now? Perhaps US Treasury Secretary Scott Bessent had felt that the weak yen was undermining JGBs, which, in turn, was weighing on Treasuries. Notably, Japan has intimated it will be using the Fed's new FIMA repo facility. This allows it to raise

dollars against Treasury holdings rather than having to outright sell Treasuries to undertake intervention.

There is a lot to say on this subject, but what does it mean for USD/JPY prospects? This intervention does not change the fundamentals of a Fed close to hiking and Tokyo running a loose set of monetary and fiscal policies, which are weighing on the yen. We struggle to see this bilateral action driving USD/JPY sustainably below 155. But equally, it does serve as a containment exercise, limiting investors from chasing USD/JPY through 160 and buying time for Tokyo to introduce more yen-positive policies. These could include more incentives to invest in Japanese domestic assets.

Chris Turner

CEE: Better mood helps regional currencies but koruna may lag

The new month starts with a fresh data calendar, led by Turkey today. We expect July CPI inflation at 1.7% month-on-month, bringing the annual rate down to 31.7% from 32.1% in the previous month. On a seasonally adjusted basis, which the central bank monitors closely, we expect July inflation to move back above 2%, closer to the average seen over the past two years.

On Wednesday, the Czech Republic will release July inflation, which we expect to rise from 1.5% to 1.7% year-on-year, driven by higher fuel prices after the end of the reduced diesel excise tax and margin cap at fuel stations. The Czech National Bank meeting follows on Thursday, where rates are likely to stay unchanged at 3.75%; the focus should be on the new forecast and forward guidance, which we expect to be dovish relative to market pricing.

Hungary will publish July inflation on Friday, and we expect a further decline from 1.7% to 1.2%, below both market expectations and those of the National Bank of Hungary.

As in recent weeks, Middle East headlines are setting the tone at the start of the week. The lack of further escalation points to a more constructive mood in the days ahead, while new highs in EUR/USD should support some gains in CEE currencies. EUR/HUF touched local highs near 365 on Friday, driven by global risk-off and news from Hungary about the temporary closure of a nuclear power plant, which could affect both industrial production and energy imports. Given its current sensitivity to global risk sentiment, the forint could benefit the most in the region, followed by the Polish zloty. By contrast, EUR/CZK remains largely driven by the interest-rate differential, and this week's CNB meeting should deliver a dovish tone, pushing EUR/CZK above 24.250.

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Article | 3 August 2026

RATES SPARK

Rates Spark: Rates are seeking new levels to settle

Markets have a pile of macro data and central bank speak to digest from last week, and with US payrolls scheduled for Friday, expect more volatility ahead. Meanwhile, oil remains the wildcard and could be the deciding factor in whether we're looking at lower or higher rates by the end of this week



We expect volatility to continue in rates markets, with oil prices potentially being the deciding factor on whether we have lower or higher rates this week

Bearish rates bias but oil will be the judge

Euro rates seem happy to drift higher as growth surprises have turned significantly more positive of late. Last week's inflation reading was also slightly on the bearish side, with core CPI unexpectedly ticking up. While we think inflation risks are less than feared, in the near term we would not push against markets' hawkish ECB positioning. Structurally, we still think 2Y euro swap rates should find themselves lower, but this might be more of a 2027 story. As we get more inflation data, limited second-round effects should allow for a more dovish ECB outlook.

For US rates, we continue to see potential for a steepening from both sides in the near term. After last week's FOMC meeting, markets have turned more dovish on the Fed, but the long end is clearly vulnerable to higher rates. The expectations for Friday's payroll numbers are just 88k, but still in positive territory. In a scenario of easing inflation and a relatively steady jobs market, longer rates can stay anchored at higher levels even if the front end comes down.

Only when the economic outlook starts deteriorating should we start seeing a more noticeable bullish move in US rates. With the US consumer increasingly struggling, we expect growth headwinds to start mounting in 2027. Therefore, structurally, we still eye lower US rates across the curve.

Meanwhile, the correlation between oil and rates remains strong, and even though the latest signs have turned more positive, we'll have to see concrete steps to open the Strait to prevent oil prices from rising again. The relationship does not show any signs of easing. If anything, the longer oil prices remain elevated, the higher the risk of second-round inflation effects. Based on a simple linear model, a \$10 rise in Brent oil translates to around a 10bp higher 2Y EUR swap rate, 15bp for the 2Y GBP swap rate and 6bp for 2Y USD swap rates.

Monday's events and market views

The data highlight will be the US ISM manufacturing from July. Consensus sees an improvement of the headline number from 53.3 to 54.0. Earlier from Europe, we also have Italian and French manufacturing PMIs. So far, the manufacturing indicators have shown resilience amid higher energy prices, and consensus expects another tick higher.

No notable supply is scheduled.

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